

in base formations just ready to break out of them on the upside. A stock which is literally doing nothing will tend to continue doing nothing until either accumulation or distribution starts. . . .

3. *What Goes Up Must Come Down (Gravity).*

There are many refinements of this generalization. If a stock price advances too rapidly then the dangers of retracement on the downside are enhanced. The speed of advance greatly depends on the level it started from. Obviously, if the rapid advance started from a *base formation* then the first physical law has precedence and the price momentum will not be quickly diluted. If the rapid advance occurs after the stock has been advancing in price for some time then this physical law takes precedence and the danger of decline is increased.

It is easier to understand this when it is realized that the price of a stock tends to move in *three phases*: (1) the base formation, (2) the advance from the base formation at about a 30 degree angle and (3) the third phase of maturity where the price is advancing at almost a vertical or 90 degree slant. It is in this latter phase where the danger of sharp decline is the greatest. This is the phase in which the above physical law is most commonly applied.

4. *It Takes More Energy to Go Up Than Down (Gravity).*

It may take a stock one or two years to rise from 20 to 50 but it could lose half that advance in a period of weeks.

A stock can fall more quickly than it rises by merely the turning off of the faucet of upside energy leaving nothing left except the natural law of gravity to predominate.

The gravity principle shows the downward pull the greatest next to the earth and as we rise above the earth the